

proved to be too much, even for the master. Shortly thereafter, Niederhoffer had a margin call that he could not meet; his fund's account had gone bankrupt.³ Cue the steamroller.

How can it be that Victor Niederhoffer—a noted academic, a respected financial expert, a lion on Wall Street, and a financial press darling—could bankrupt his fund by pursuing a volatile options strategy that first year business school students are cautioned against as being too risky? And what did this say about Niederhoffer's expertise?

Some might argue that once Niederhoffer took losses on his Thai currency bet, his incentives changed and affected his perspective. Facing such losses, perhaps this risky option strategy seemed like a reasonable response. Perhaps it was at this point that Niederhoffer became a slave to his emotions, and therefore ceased to be an expert. Perhaps he simply believed in his innate abilities. Perhaps he just wanted to take on more risk. We will never know.

Yet we rely on experts like Niederhoffer because they are supposed to have superior knowledge! They, given their expert credentials, should reach the right conclusion more often than we, the nonexperts. Once Niederhoffer went bust, surely his expert credentials were revoked by the masses and relegated to nonexpert status, right?

Mustafa Zaida, a professional investor who ran a European hedge fund, apparently didn't think so. In 2002, Zaida seeded a new offshore fund called the Matador Fund, with Niederhoffer directing the trading activities. Zaida reportedly commented, “He's definitely learned his lesson.” It's hard to know exactly what Zaida's thinking was here, but he clearly believed Niederhoffer still maintained at least some degree of expertise.

The Matador Fund performed well initially, compounding at high rates for several years and growing to \$350 million. Then in 2007, during the credit crisis, Matador reportedly lost more than 75 percent of its value. As had happened in 1997, Niederhoffer's account was liquidated. He had “blown up” for the second time in about a decade.⁴ And while these episodes were highly public, there are less public rumors that Niederhoffer blew up a third time, although we don't know whether to give much credence to such rumors.